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Cracking the Culture Code: Building Leadership Capacity to Navigate Cultural Nuances in Energy

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Abstract

Objectives/Scope: This paper explores how building cultural transformation capacity in leaders is critical to evolving corporate culture and enabling the successful delivery of strategy—especially within diverse and complex energy environments. It addresses:

- How to build transformational leadership capacity at all levels and close the say–do gap
- Lessons learned in deploying large-scale cultural competency training across the organization
- The importance of cultural nuances —language, leadership approach, and organizational context—in shaping transformation outcomes
- Why culture transformation must be rooted in business needs and core values to ensure relevance and sustainability

Methods, Procedures, Process: The company adopted a phased Assess–Build–Sustain model and incorporated inspiration from Otto Scharmer's Theory U:

- *Assess:* In 2023, over 6,000 employees participated in a extensive culture survey, complemented by interviews with leaders, contractors, and shareholders to understand cultural strengths and limitations.
- *Build:* A cohort of over 350 leaders including 110 culture catalysts was mobilized to participate in a two-stream development approach: Transformation Labs for leaders and Culture Labs for catalysts. These sessions focused on skills such as mindset shift, psychological safety, deep listening, and leading through uncertainty.
- *Sustain:* As the company's leadership structure evolved and priorities sharpened, a more focused leadership development strategy was adopted. A new enterprise-wide leadership group was established to strengthen accountability and embed culture through line ownership. Learnings from the earlier catalyst programme were retained and integrated into current approaches. The catalyst community continues to support leaders, reinforcing frontline impact. In parallel, a certified in-house faculty (22 members) is being developed through an ILM-accredited pathway, to ensure sustainability and reduce dependency on external consultants. Interventions remain grounded in

core values: Honesty, Integrity, and Respect, while also resonating strongly with Omani cultural values of respect, unity, and responsibility.

Results, Observations, Conclusions: The programme has engaged over 7,000 employees and contributed to strengthening cultural alignment across the business. Early challenges, including timing overlaps with other major organizational shifts, highlighted the importance of sequencing, role clarity, and visible leadership ownership. Adjustments to ensure cultural efforts are linked to business-critical pain points (e.g., production, safety, cost) have enhanced relevance and traction. Key lessons include: transformation must be owned, not outsourced; language matters; and evolving culture is not linear—it requires listening, learning, and iterating continuously.

Novel/Additive Information: This paper offers a replicable model for transitioning from externally led to internally owned culture transformation—by equipping leaders, not just change agents, with the tools and ownership to embed lasting behavior change. It shows how cultural competency can become a strategic lever for business performance in complex, high-stakes environments.

Introduction

Peter Drucker's oft-quoted statement that "culture eats strategy for breakfast" remains highly relevant in today's energy industry (Drucker, 1993). Kotter and Heskett's (1992) longitudinal study of over 200 companies over 11 years found that organizations with adaptive, performance-enhancing cultures outperformed those without by a wide margin: net income increased significantly compared with those that neglected cultural alignment. Culture, therefore, is not a soft or peripheral matter but a strategic driver of resilience, innovation, and growth.

In the oil and gas sector, the interplay between culture, safety, and performance is particularly critical.

The energy sector is undergoing a period of unprecedented turbulence. Global decarbonization pressures, volatile markets, regulatory expectations, and rapid digitalization have fundamentally reshaped the operating landscape. At the same time, the industry continues to face the challenge of delivering safe, reliable, and cost-efficient hydrocarbon production while preparing for the future energy mix. Within this complexity, leadership behaviors and organizational culture have emerged as decisive levers for performance.

Numerous industry failures—ranging from safety incidents to stalled transformation programmes—have pointed to a persistent gap between declared corporate values and enacted leadership behavior. Bridging this "say-do gap" requires more than technical competence; it calls for cultural competency and the ability to lead across nuance, context, and complexity.

This paper presents the journey of a major Middle Eastern energy company that sought to build internal cultural transformation capacity. It frames culture not as an abstract aspiration but as a business-critical enabler of strategy, deeply intertwined with operational performance. Crucially, the case shows how culture transformation efforts evolve over time: from external consultancy-led initiatives, to catalyst-driven grassroots activation, to fully internalized leadership development sustained through an accredited faculty model.

The journey of this company was built upon its Lean deployment to evolve toward leadership-led culture transformation. Lean thinking, with its origins in Toyota's production system (Womack & Jones, 1996), had already delivered substantial performance improvements through waste elimination, standardization, and problem-solving culture. However, leadership recognized that to deliver the new strategic agenda, a further cultural shift was required: from process discipline alone to broader leadership capacity, agility, and behaviors consistent with the company's values of Honesty, Integrity, and Respect.

The journey was further shaped by organizational and regulatory changes—such as pension reform and structural realignment—and by the broader societal context of Oman, where notions of respect,

unity, and community responsibility resonate deeply. The synergy between company values (Honesty, Integrity, Respect) and Omani cultural norms provided a foundation for transformation, yet also introduced sensitivities around the language of "culture change," which in some quarters was misinterpreted as altering national identity rather than evolving workplace practices.

This paper integrates academic theory with lived practice. It examines how global cultural frameworks (Hofstede, 1980; Hickson & Pugh, 1995) intersected with the company's specific context, and how Lean provided both a platform and a limitation for change. It presents the three-phase transformation approach—Assess, Build, Sustain—and reflects on results, lessons, and implications for future practice.

Against this backdrop, the paper proceeds in three stages:

1. A literature review examining the link between lean thinking, cultural transformation, and leadership capacity.
2. A case study tracing the company's Assess–Build–Sustain journey, with particular focus on the role of catalysts, leadership engagement, and faculty development.
3. A discussion drawing out lessons learned, implications for practice, and recommendations for organizations navigating similar transitions.

Literature Review: Linking Lean Thinking and Cultural Transformation

The Evolution of Lean in the Energy Sector

Lean thinking, originating in Toyota's production system, has long been recognized as a framework for eliminating waste, improving efficiency, and empowering employees (Womack and Jones, 1996). Over the past two decades, lean principles have been adopted in oil and gas companies, initially with a focus on operational excellence—reducing downtime, streamlining maintenance, and standardizing processes (Hallam, 2018). Yet scholars and practitioners alike have noted that the sustainability of lean initiatives depends not only on tools but on cultural alignment (Bhasin, 2013).

Research demonstrates that lean transformations often falter when leadership commitment is superficial or when cultural underpinnings—such as openness, trust, and accountability—are neglected (Liker, 2004). This is especially acute in hierarchical industries like oil and gas, where decision-making authority is centralized and frontline staff may be hesitant to speak up. Without addressing the underlying culture, lean can become mechanistic: a set of tools applied without shifting mindsets.

Culture as the Missing Link

Hofstede's pioneering work on cultural dimensions, based on his IBM study (1980), established that national and organizational cultures shape behaviors and expectations in profound ways. In energy companies operating across diverse geographies, cultural differences can influence everything from safety reporting to leadership credibility. Hickson and Pugh (1995), in *Management Worldwide*, further showed how management practices are deeply embedded in societal culture, cautioning against one-size-fits-all approaches.

For lean to take root, then, it must be interpreted through the lens of culture. Practices such as continuous improvement, visual management, and standardized problem-solving require a climate of psychological safety and empowerment—conditions that are themselves products of leadership behavior and cultural context. Studies in the energy industry confirm this: lean gains are fragile without visible leadership role-modeling and alignment with corporate values (Netland, 2016).

Synergies Between Lean and Culture Transformation

The synergy between lean and culture transformation lies in their shared emphasis on people. Lean is often mischaracterized as efficiency-driven, but its essence is respect for people: engaging employees in problem-

solving, surfacing hidden obstacles, and enabling ownership. Similarly, culture transformation is not about slogans but about shifting the everyday behaviors that enable performance.

Several points of convergence can be highlighted:

- **Continuous Improvement and Iteration:** Both lean and culture transformation emphasize PDCA (Plan–Do–Check–Act) cycles. In the company case, this was exemplified in the pulse check during the build phase—a structured feedback loop that surfaced staff perceptions and enabled course correction.
- **Leadership Role Modeling:** Lean studies consistently show that leadership behaviors are the decisive factor in sustaining gains (Liker and Convis, 2012). Culture transformation similarly hinges on closing the say–do gap.
- **Psychological Safety and Problem-Solving:** Lean's kaizen workshops and problem-solving routines require openness to voice concerns and challenge assumptions. Culture transformation initiatives, such as "coffee corners", similarly seek to create safe spaces for dialogue.
- **Alignment with Values:** Lean thrives where respect for people is authentic, not rhetorical. Culture transformation likewise depends on grounding change in lived values.

By viewing culture transformation as the "next horizon" of lean, organizations can move beyond tools to address deeper behavioral and relational dynamics. This positioning is particularly apt in the energy sector, where the safety imperative underscores the need for a culture that enables people to speak up, collaborate across silos, and adapt in real time.

Table 3—Lean–Culture Synergies

Lean Thinking Principle	Cultural Transformation Synergy
Continuous Improvement (Kaizen)	Evolution of culture through iterative reflection and adaptation; embedding feedback loops (e.g. pulse check).
Respect for People	Alignment with corporate values (Honesty, Integrity, Respect) and Omani traditions of respect and community.
Standard Work	Translation into leadership routines for psychological safety (e.g., check-ins, coffee corners).
Problem-Solving at Source (Genchi Genbutsu)	Empowering catalysts and leaders to solve adaptive challenges directly with stakeholders.
PDCA Cycles	Used to test cultural interventions (e.g., pulse check adjustments to pace, leader role modeling, and language use).
Leadership Role Modeling	Extends beyond efficiency to embody values; leaders close the say–do gap in visible, everyday actions.

This table illustrates the natural progression from Lean's operational discipline to a broader culture transformation agenda. Lean introduced routines like PDCA cycles, problem-solving at source, and respect for people. These practices became cultural steppingstones: check-in practices mirrored "standard work," while catalysts' adaptive challenge experiments mirrored Kaizen cycles. The synergy lies in expanding the **scope of improvement from processes to people**. Where Lean emphasized waste elimination, culture transformation emphasized value creation—aligning everyday work with values of honesty, integrity, and respect. Both draw upon iterative learning, leader role modeling, and respect for people, but cultural transformation broadened the application to trust, engagement, and collaboration across silos. By weaving Lean foundations into culture efforts, the company ensured continuity rather than rupture—framing cultural transformation as the next evolution of its improvement journey.

Case Study: The Catalyst Programme and the Assess–Build–Sustain Journey

Assess Phase

In early 2023, over 6,000 employees—representing more than 75% of the organization—participated in a comprehensive culture survey. This survey provided a data-rich picture of where the company was "at its best" and "not at its best," using a behavioral lens anchored in our core values: Honesty, Integrity, and Respect.

Interviews with project managers across all major transformation initiatives revealed recurring behavioral patterns that aligned with survey findings:

- Hesitation to challenge established processes (high power-distance tendencies in certain teams)
- Siloed thinking inhibiting cross-functional collaboration
- Preference for process compliance over adaptive problem-solving

These insights formed the **blueprint for the desired culture** and identified capability gaps in transformational leadership.

Build Phase

The Build phase was where the cultural transformation efforts moved from diagnosis to activation. Two parallel development streams were launched:

1. **Transformation Labs for Leaders** – immersive workshops designed to stretch leaders beyond technical management into adaptive leadership. Topics included mindset shift, psychological safety, deep listening, leading through uncertainty, and bridging the say-do gap. These sessions provided a common language and toolkit for leaders to engage with complex challenges.
2. **Culture Labs for Catalysts** – practical, action-oriented workshops equipping over 110 nominated catalysts with skills to support change in their departments. Catalysts were nominated by their directors based on three criteria: **high performance, influence, and personal characteristics** that signaled potential to shape culture.

A smaller cohort, the **Top Catalysts**, was further selected to act as "top catalysts" within the catalyst community. These individuals had direct access to their directors and were explicitly tasked with facilitating adaptive challenge sessions, supporting peers, removing barriers, and escalating roadblocks.

The intent was that catalysts would not replace leadership but act as multipliers, helping directors and their teams execute **Culture Impact Plans (CIPs)**. These plans captured concrete actions and experiments designed to address the adaptive challenges surfaced in the Assess phase.

Examples of Adaptive Challenges and CIP Actions.

- **Challenge:** How to drive healthy high performance during times of uncertainty and change.
 - *Actions:* Introduce well-being check-ins at start of meetings; run healthy high performance workshops
- **Challenge:** How to improve psychological safety to enhance reporting of safety incidents.
 - *Actions:* Launch structured "coffee corners" with leaders lowering their waterline (sharing vulnerabilities to build trust)

These adaptive challenges required more than procedural fixes—they called for shifts in norms, behaviors, and relationships. The adaptive challenge sessions reinforced the idea that adaptive challenges could not be solved by technical fixes alone—they required leadership vulnerability, staff voice, and cultural shifts.

Success Factors and Barriers. The catalyst programme's impact varied across directorates. Where directors visibly sponsored the CIPs, progress was tangible: adaptive challenges were tackled, catalysts felt empowered, and practices such as check-ins and coffee corners became part of the fabric of daily work.

Conversely, in areas where leadership sponsorship was absent, catalysts found themselves carrying the burden. Workshop turnout was poor, CIP activities became tick-box exercises, and the deeper intent of

transformation was diluted. This underutilized both the leadership cohort (the LT350) and the catalyst community, creating frustration and fatigue.

Yet the programme did build important capability. Catalysts became adept at framing adaptive challenges, designing experiments, and facilitating dialogue. Even when progress slowed, the organization had created a cadre of internal change leaders—an asset that would prove invaluable in later phases.

Sustain Phase

The Sustain phase coincided with a change in top leadership: a new Managing Director (MD) and executive team restructuring, bringing fresh perspectives and sharper focus on accountability. This was a pivotal inflection point.

The pulse checks conducted during this period offered a clear-eyed assessment: unresolved pension disputes had eroded trust, change fatigue was high, and many employees perceived the culture drive as "corporate push" rather than meaningful support. Recognizing this, the central culture team **pivoted from push to pull**.

Key Adjustments.

- **From Culture Transformation to Leadership Development:** The emphasis shifted from broad "culture change" language to positioning interventions as part of leadership development and execution of strategy. This made the effort more palatable and business-focused.
- **From External to Internal Faculty:** To reduce reliance on consultants, the company with the support of a culture training provider launched an ILM-accredited **in-house culture faculty**. A first cohort of 22 facilitators was trained and certified to deliver Transformation and Culture Labs.
- **From Blanket Rollout to Tailored Support:** Instead of driving uniform practices, the team worked with leaders to adapt interventions (like check-ins or coffee corners) to subcultures, preserving intent but respecting context.
- **From Catalyst Push to Leadership Pull:** Catalysts remained engaged through weekly calls and executive recognition but were repositioned as resources to support leaders rather than drivers of activity in their own right.

Discussion

Lessons Learned

Several key insights emerged from the company's journey:

1. **Transformation Must Be Owned, Not Outsourced:** Consultants provided useful early impetus, but ownership shifted only when leaders and catalysts internalized responsibility.
2. **Language Matters:** "Culture change" carried unintended connotations in Oman, sometimes perceived as a challenge to national identity. Reframing efforts as leadership development and culture evolution improved acceptance.
3. **Leadership Sponsorship is Non-Negotiable:** Catalyst-driven activities thrived only when backed by visible leader commitment. Where absent, they stagnated.
4. **Adaptive Challenges Anchor Relevance:** CIPs that addressed real, business-critical pain points (e.g., production safety, silo breaking) gained traction; generic activities did not.
5. **Faculty Development Secures Sustainability:** By certifying internal facilitators, the company ensured long-term capacity without ongoing consultancy dependence.

Integration of Lean and Culture

The synergy between lean and culture transformation was particularly evident in three areas:

- **Continuous Improvement Mindset:** Pulse checks and iterative CIP reviews mirrored PDCA cycles.
- **Respect for People:** Coffee corners and check-ins operationalized lean's principle of valuing people's voices.
- **Whole systems View:** Catalysts and leaders working together reinforced the idea that culture is not localized but system-wide.

Energy companies, often operating in high-risk and multicultural contexts, face unique cultural challenges. This case underscores that cultural competency is not a "soft" issue but a strategic lever: it directly affects safety, cost efficiency, and license to operate. Investing in leadership capacity and internal faculty development offers a replicable model for others in the sector.

Conclusion

The company's journey shows that cultural transformation is not linear but iterative. It requires listening, recalibrating, and anchoring interventions in real business needs. While challenges remain—particularly around sustaining leadership sponsorship and preventing fatigue—the organization has laid the foundation for a truly **internally owned model of culture evolution**.

By blending lean principles, adaptive leadership, and culturally nuanced practices, the company has demonstrated that cracking the culture code is not about imposing change but about building leadership capacity to navigate complexity with integrity, honesty, and respect.

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